Sterlite Technologies Ltd (STL)

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: STLTECH · BSE: 532374 · Report prepared 7 Nov 2026 · **Continuity report**, builds on the Q1-2027 edition

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: STL makes **optical fibre** (hair-thin glass strands that carry internet traffic as light) and **optical fibre cable**, plus the plugs, trunks and pre-built assemblies that connect them. It's one of very few firms in the world that does the whole chain in-house: pure silicon, then glass "preform", then drawn fibre, cable and connectivity hardware. Buyers are telecom operators, government rural-broadband schemes (BharatNet in India, BEAD in the US) and, more and more, the hyperscalers (Google, Meta, Microsoft and the like) wiring up AI data centres. It holds about 9% of the optical-cable market outside China.

Measure	Value	What it means in plain words
Market cap	₹37,018 cr	What the whole company is worth on the stock market. Up from ₹30,088 cr at our last report.
Share price / 52-week range	₹720 (₹1,054 / ₹84.6)	The stock touched ₹1,054 and has since come off about a third from that peak, though it's still many times its low.
Q2 FY27 revenue (group)	₹2,529 cr	Sales in the September quarter. Up 145% on a year ago and 32% on the June quarter. A second record quarter in a row.
Q2 FY27 operating EBITDA (group)	₹685 cr (27.1% margin)	EBITDA = operating profit before interest, tax and depreciation. About ₹27 of every ₹100 of sales, up from about ₹21 last quarter. This excludes a one-time ₹161 cr US tariff refund (reported EBITDA with it was ₹846 cr).
Q2 FY27 net profit (group)	₹517 cr	Bottom-line profit. More than the June quarter's ₹197 cr by over two and a half times, though the tariff refund helped. First-half profit ₹714 cr against ₹14 cr a year earlier.
Open order book	₹35,274 cr	Work won but not yet delivered. Nearly double last quarter's ₹18,618 cr and about three and a half years of sales at the September-quarter pace.
Net cash (30 Sep 26)	+₹703 cr	Cash is bigger than borrowings, up from ₹483 cr three months ago. Still net debt-free.
Reported P/E (standalone)	81x	Price over the last twelve months' standalone profit. Down from 223x last report because profit is now catching up with the price.

Two sets of books. Screener's tables are the standalone Indian parent; management quotes the consolidated group (overseas plants included). For the September quarter standalone sales were ₹1,399 cr and profit ₹319 cr (34% operating margin), against consolidated ₹2,529 cr and ₹517 cr. Consolidated figures are used below unless marked.

2 Concall coverage, split view

Period	Call date(s)	How it was used in this report
FY18 to Q4 FY26 30 calls	Jan 2018 to Apr 2026	Carried forward as backstory from the Q4-2026 and Q1-2027 reports. Not re-read here.
Q1 FY27 (prior boundary)	24 Jul 2026	The last call the previous report covered. Baseline for Section 2d.
Investor & analyst meet ("Lakshya")	**3 Sep 2026**	**Newly read in full ★**. Not a results call: management laid out its plan to FY29.
Q2 FY27	**23 Oct 2026**	**Newly deep-read in full ★**. The latest results call.

Coverage check: the scraper listed 33 transcripts and downloaded all 33, including both new ones. Nothing missing.

★ Latest concall highlights, Q2 FY27 (call held 23 October 2026)

- **Another record, bigger than the last.** Revenue ₹2,529 cr (up 145% on a year ago), operating EBITDA ₹685 cr at a 27.1% margin, net profit ₹517 cr. The CFO's line: "If Q1 was historic, Q2 has raised the bar again." Part of the profit is one-off: a ₹161 cr US tariff refund, partly offset by a ₹49 cr write-off of a subsidiary (Speedon Networks) and loan prepayment penalties.
- **A second hyperscaler signed.** A new five-year agreement with a potential value of about $1.2 billion with *another* global hyperscaler for AI-ready optical products, on top of last quarter's $1.1 billion deal. First-half order intake was ₹32,000 cr, about four times all of FY26. They also signed multi-year deals with global telecom operators and a large cable contract with an Indian telco.
- **The FY29 plan, then raised.** In September they announced "Lakshya": ₹20,000 cr revenue by FY29 (about four times FY26) at a 27%+ EBITDA margin. Seven weeks later they lifted the FY29 margin target to about 30% and kept the revenue goal. To get there they'll spend about ₹1,000 cr a year through FY29, adding 50% to preform, fibre and cable capacity and building a new connectivity plant in India.
- **Attach rate jumped.** Connectivity hardware sold alongside cable hit 24% in the first half against a promise of "above 20%". CRISIL upgraded STL to AA stable, so both rating agencies now agree.
- **Tone:** confident and more open on targets than ever, but still won't give factory usage, prices or how much of data-centre sales is connectivity.

Business mix & capacity.
By segment (H1 FY27): Data Centre 33% of revenue (21% in Q1, 1% in FY26). An analyst put Q2 alone at about 40-42%, and management didn't push back. Plain read: data centres are now a third of the company and climbing. Target stays ~50% for FY27, with 50-60% as the deliberate ceiling so they don't lean on one customer type.
Home vs overseas (H1 FY27): North America 61%, Europe 21%, rest of world including India 18%. Plain read: America is now well over half of sales, up from 54% in Q1.
Capacity utilisation: not disclosed, again. They said it "continues to improve quarter-on-quarter" and that buying germanium and helium got easier. New capacity (the 50% expansion) is due "in the next few quarters". Plain read: factories are near full and the bottleneck is raw material plus lines, not orders.

★ 2d. Since our last report

This builds on the **Q1-2027 report**, whose coverage stopped at the **Q1 FY27 call of 24 July 2026**. That report's verdicts: **durable earning trigger: YES** and **management consistent: YES**. Its main open questions were whether STL could build fast enough, whether raw-material costs would keep eating gross margin, and why the US Prysmian patent case had gone quiet. Two calls have happened since.

Prior read	What we said then	What the new calls show	Movement
Trigger verdict	YES: profit arrived, $1.1 bn hyperscaler deal booked.	A second hyperscaler deal (~$1.2 bn), order book nearly doubled, margin up again to 27%.	**Confirmed**
Consistency verdict	YES: three promises beaten early.	Every quantified Q1 promise met or beaten (margin, attach rate, debt-free).	**Confirmed**
EBITDA margin target raised to 23%	Too early to judge.	27.1% operating margin in Q2, 24.4% for the half. Excludes the tariff refund.	**Beaten**
Attach rate above 20% from Q2, 25% by Q4 FY27	Attach rate had barely moved (15% to 16%).	24% for H1. Q4 target of 25% is now almost in hand.	**Beaten**
Net debt-free through FY27	Net cash ₹483 cr.	Net cash ₹703 cr. Some loans prepaid early (with penalties).	**On-track**
Data centre + enterprise ~50% of FY27	Data centre 21% in Q1.	33% for H1, ~40% in Q2. Second half needs to run well above 50% to make it.	**On-track, tight**

Capacity as the binding constraint	Debottlenecking only, ₹500 cr/yr capex.	Capex doubled to ₹1,000 cr/yr, a real 50% expansion plus a new Indian plant. Nothing commissioned yet.	**Improving**
Raw-material squeeze (germanium, helium)	Ate the whole gross-margin gain.	Procurement and supplier spread "improved". Margin jump says costs no longer biting as hard. No price data given.	**Improving**
Prysmian US patent suit	Gone quiet, unaddressed.	Still not mentioned on either call and no analyst asked.	**Unaddressed**

The prior report had no Section 6 checkpoint box, so the promise rows above are the scorecard.

Verdict change this quarter. Earning trigger: **YES, unchanged**. A second hyperscaler deal makes the order book less dependent on one customer and the margin step-up came from mix, not price. Management consistency: **YES, unchanged**. Every numeric promise from July was met or beaten within one quarter. The one blot is still disclosure.

★ 3. Earning-trigger thesis

The trigger is **AI data centres needing far more fibre per rack, and STL selling them the trunks and connectors around the cable as well**. Management says fibre per AI rack has gone from about a thousand strands in a normal cloud rack to tens of thousands in the newest Nvidia designs, and links between data-centre buildings multiply as campuses grow. STL now has two hyperscaler contracts worth over $2 billion between them, a ₹35,274 cr order book and almost no spot sales, so most of next year's revenue is already scheduled. The margin story is mix: data-centre products and connectivity earn more than plain telecom cable. The open question has moved from "is demand real" to "can the new lines come on in time, and can margins hold once the tariff refund and the AI buying rush fade".

Trigger	What management says	Evidence so far	Horizon	Strength	Change since last report
AI data-centre demand	Fibre per rack keeps multiplying; industry researcher CRU raised 2026 data-centre fibre demand growth to 89% from 63%.	Data centre 33% of H1 sales; second hyperscaler deal (~$1.2 bn, five years); North America 61%.	Now to FY29	**Strong** Two contracts, not one.	**↑ Improving** Customer concentration eased a bit.
Margin from mix and factory usage	FY29 margin target raised to ~30%; aim to hold Q2 levels or better from Q3.	Operating margin 13.2% (FY26), 20.8% (Q1), 27.1% (Q2).	FY27-29	**Strong** Third raise in a row.	**↑ Improving**
Connectivity attach rate	Sell cable plus termination as one solution; peers are far higher.	24% in H1, up from 16% last quarter's reading.	1-3 yrs	**Strong** Finally moving.	**↑ Improving** Was "barely moved".
Capacity to serve orders	₹1,000 cr/yr capex; preform, fibre and cable up 50%; new Indian connectivity plant.	Capital work in progress up from ₹16 cr to ₹159 cr (standalone). Nothing live yet.	1-3 yrs	**Moderate** Plan is real, delivery isn't.	**↑ Improving** Was "unproven".
Next-gen fibre (hollow-core, multi-core)	Scale in about 1.5 to 2 years; installation is the industry problem.	Hollow-core in first commercial pilot; trials in India and UK.	2+ yrs	**Unproven**	**Unchanged**

3b Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	**Yes**	"Net cash balance has improved to INR703 crores... CRISIL has further upgraded our long-term rating to double AA stable" (23 Oct 26). Loans prepaid early.
New business	**Yes**	Pre-Terminated Trunk Assemblies launched in September; plenum-rated in-data-hall range; hollow-core cable in first commercial pilot (23 Oct 26).
Margin up	**Yes**	"27% operational margin reflects... higher capacity utilization, a richer product and customer mix and an increasing share of high-value optical connectivity" (23 Oct 26).
New management	No	Same MD (Ankit Agarwal) and CFO (Ajay Jhanjhari).
New capacity	**Yes**	"Expanding our preform fiber and cable capacities by 50%... a greenfield facility for preterm solutions... INR1,000 crores per year from 2027 to 2029" (3 Sep and 23 Oct 26). No start date given.
Big orders	**Yes**	"Open order book stands at record INR35,274 crores"; new five-year hyperscaler agreement "with a potential value of $1.2 billion" (23 Oct 26).
Turnaround	No	The turnaround happened last quarter; this call is growth on top of it.
Promoter buying	No	Not mentioned. Promoter stake fell from 44.5% to 42.3% after the share sale to institutions.

Single concrete driver: two multi-year hyperscaler supply deals for AI data-centre cable and connectivity are filling the factories with higher-margin work.

3c Margin bridge

Operating margin is 27.1% now, up from 20.8% last quarter and 13.2% for all of FY26. Management puts it down to more data-centre sales (which earn more than telecom), more connectivity hardware per cable order and fuller factories. The ₹161 cr tariff refund is excluded from that number and called one-time. Management expects to hold Q2 levels or better from Q3 and has raised the FY29 target to ~30%, so they treat it as structural. **(lasting)**

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY24 (May 24)	Recovery "one to two quarters away"; usage to 70-80%; complete services demerger.	Recovery slipped for another year. Demerger completed Mar 2025.	**Missed timing / Delivered demerger**
Q4 FY25 (May 25)	Margin toward 20%; net debt under 2x EBITDA.	US tariff hit delayed margins; debt target met.	**Partly**
Q4 FY26 (Apr 26)	20% margin by end FY27; data centre + enterprise 30% of FY27; net debt under 1.2x.	All three beaten in Q1 FY27.	**Delivered early**
Q1 FY27 (Jul 26)	Margin to 23%; attach rate above 20% from Q2 and 25% by Q4; net debt-free through FY27; data centre + enterprise ~50% of FY27.	27.1% margin; attach 24% in H1; net cash ₹703 cr; data centre 33% in H1, still to prove for the full year.	**Delivered**
Lakshya (Sep 26) and Q2 FY27 (Oct 26)	₹20,000 cr revenue and ~30% margin by FY29; 50% more capacity; ₹1,000 cr/yr capex; finance cost to fall from Q3; working-capital cycle 45-50 days.	Too soon. Q3 has ₹3,021 cr already scheduled from the order book, above Q2's revenue.	**Too-early**

Every call	Analysts keep asking for utilisation, prices, segment margins.	Refused again on all three.	**Never disclosed**

Narrative drift. Very little. Same MD, same story for three years: fibre demand comes back, AI data centres add a new leg, margins follow factory usage. What changed is the size of the ambition. In July the capex plan was ₹500 cr a year of debottlenecking. By September it was ₹1,000 cr a year and a 50% expansion, with a ₹20,000 cr revenue goal. That's a big jump in a short time, but it's backed by orders already signed, so it reads as reacting to demand rather than story-switching. The habits worth watching: they still won't share utilisation, prices or how much of data-centre sales is connectivity, the Prysmian US patent claim has now gone two calls without a word, and receivables and working capital crept up this quarter (management blamed supply-tight raw-material terms and promised improvement next quarter).

5 Bottom line, two verdicts

Durable earning trigger? → YES · *vs last quarter: unchanged*

What moved it: nothing downward, and the case got stronger. Last quarter's worry was that one hyperscaler deal carried the whole order book. Now there are two, plus multi-year telecom contracts, and the order book is ₹35,274 cr, roughly three and a half years of sales at the current pace. Margin rose from 20.8% to 27.1% on mix, not price. Spot sales are now negligible, so most revenue is scheduled. Risks: over 60% of sales go to North America, so a pause in US AI spending would hurt; the Q2 profit had a one-off tariff refund in it; and the new capacity that the FY29 target needs isn't built yet. Fibre has had brutal down-cycles before (group sales halved from FY23 to FY25).

Management consistent? → YES · *vs last quarter: unchanged*

What moved it: they did what they said again. Margin target of 23%, beaten at 27%. Attach rate above 20%, delivered at 24%. Net debt-free, kept with more cash. They also flagged the one-offs themselves (tariff refund, subsidiary write-off, prepayment penalties) instead of letting the headline profit speak. Two reservations stop this being a blank cheque: the data-centre share target of ~50% for FY27 needs a much bigger second half than the first, and disclosure is still thin on utilisation, pricing and the US patent case. Those are gaps in what they tell you, not in what they deliver.

★ 6. Checkpoints for next quarter

- Q3 FY27 revenue at or above the ₹3,021 cr already scheduled from the order book.
- Operating EBITDA margin holds at 27% or more with no one-off gains.
- Data centre share of revenue climbs above 40% for the nine months.

Sources: Sterlite Technologies Ltd Q2 FY27 earnings-call transcript (call 23 Oct 2026, filed with BSE/NSE 27 Oct 2026) and Investor & Analyst Meet transcript (3 Sep 2026, filed 7 Sep 2026), both read in full. Backstory carried forward from the Q4-2026 and Q1-2027 Concall Tracker reports. Screener.in snapshot, quarterly results, balance sheet and shareholding tables (standalone). Figures quoted from the calls are consolidated.

This is not investment advice. Do your own due diligence.